

## ***Why a broad international market index?***

An example of one of these is the Vanguard Total World Stock Index Fund ETF. This is your worldly friend. They open you up to international experiences. This fund has over 9800 stocks from 47 countries. It invests in both foreign and US stocks by tracking the FTSE Global All Cap Index, which covers countries from both developed and emerging markets. The US accounts for 59 per cent of this fund followed by countries like Japan, UK, China, Canada, France, Switzerland and Germany, which make up the rest.

The benefit of this ETF is that you are invested in every sector in every part of the world. The diversification is strong.

It's important to note that this friend is slightly more volatile due to their jet-setting ways; they might get stuck somewhere due to a railway strike or regime change.

Emerging markets aren't as stable as the US market, but that doesn't mean they shouldn't be a part of the gang.

## ***Why a bond ETF?***

If stocks are the risk-taking, more extroverted friends, then bonds are the introverts. And in every group of friends you need the loud to be balanced out with the quiet — trust me.

A bond ETF such as the Vanguard Total Bond Market Index Fund ETF is an option to consider. It tracks the Bloomberg Aggregate Float-Adjusted Bond Index. The benefit of having bonds in your portfolio is that it reduces risk, even if it comes with a slightly lower reward. You're able to have a bit more diversification in the market. When you're hungover and have lost your wallet, stranded somewhere after a big night out with the extroverts, the bond ETF is there to pick you up and give you a cup of tea.

***They're the friends you don't really realise you need until things turn to poop.***

## ***Why have all the examples been Vanguard related?***

Vanguard hosts some of the lowest fees. A lot of passive funds are very similar, and often invest in the exact same things. That only leaves one